

IFSA

NIT Trichy

Equity Research Report

Septembe r 2025

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NIT Trichy

Recommendation : Buy
CMP : $70.07
Target Price : $92.018

About the Company

Kia entered the Indian market in 2019 and quickly became one of the top car brands in the country. It gained popularity with models like the Seltos and Sonet, offering stylish designs and advanced features at competitive prices. Kia focused on the booming SUV segment, built a strong service network, and is now expanding into electric vehicles. In just a few years, it has established itself as a trusted and innovative brand in India.

About the Industry

Automobile Industry, India's automobile industry is a rapidly evolving sector, encompassing passenger cars, commercial vehicles, two-wheelers, three-wheelers, and emerging electric vehicles.

The industry benefits from a strong manufacturing ecosystem, cost-effective production, and increasing adoption of advanced technologies. One of the most significant trends in recent years has been the rapid growth of the SUV segment. SUVs now account for approximately 41% of total passenger vehicle sales in India, with volumes expected to reach 1.37 million units in 2024. This segment has become the fastest-growing in the automotive market, driven by changing consumer preferences toward vehicles that offer greater space, higher seating positions, and improved performance across varied road conditions.

GDP Contribution

Theindustry benefits from a strong manufacturing base, cost-efficient production, and a vast network of suppliers, making it a key contributor to India's economy, accounting for around **6% of GDP and employing millions.**

Key Data

Metric	Value
52-Week High/Low	$84.64/$57.09
Market Cap	$27.66 billion
Outstanding Shares	393.7 million
1 Yr Return	–13.84 %
Value	$13.49 billion

Market Size & Growth

The India Passenger Car Market size is estimated at **₹3.55 lakh crore** in 2025 and is expected to reach ₹4.40 lakh crore by 2029, growing at a CAGR of 5.56% during the forecast period (2025-2029).



Share Holder Pattern (in %)

Shareholder	Ownership
Hyundai Motor Company	34.16%
Employee stock ownership	2.46%
Treasury stock	1.45%
NPS	7.10%
Foreigner	37.74%
Others (financial institutions, etc)	17.09%

Stock Performance over last 1 Year

Fundamental Highlights & Valuation

P/E Ratio & Valuation

Kia's trailing-12-month (TTM) P/E ratio currently stands at approximately 4.2 to 4.3×, which is significantly below the industry median (~19×). Historically, the range over the past 10 years spans 3.3× to 30×, with a median around 7×

Revenue & Profit Growth

Revenuesteadily climbedfromKRW 59 trillion in 2020 to KRW 107 trillion in2024 Kia

Net income rose from KRW 8.78 trillion in 2023 to an estimated KRW 10.17 trillion in 2025, marking solid upward momentum

Kia is also generating strong free cash flows and improving margins, contributing to robust financial health indicators

Volume & Participation

Volume spikesseen duringearly June rally and at ₹82,000 low — indicating strong institutional accumulation at lower levels.

Current volume is average-to-moderate, suggesting cautious participation ahead of key resistance breakouts.

Market Sentiment Factors

Medium-term Bullish: Higher highs & higher lows since May 2025 low.

Near-term Neutral-to-Positive: Price consolidation below ₹103,000 shows buyers are active, but also that sellers are defending resistance.

Geopolitical & Macro Factors Affecting Kia Motors

Global

Supply Chain Stability: Kia's reliance on global semiconductor supply means geopolitical tensions (e.g., South Korea–China relations, Taiwan Strait issues) can affect production schedules. Oil Prices: Higher crude prices can affect consumer demand for cars globally, but can also push demand for EVs (where Kia is expanding aggressively).

India-specific

EV Policy Push: Indian government subsidies and FAME-II incentives for electric vehicles can boost Kia's market positioning, especially with models like EV6. InterestRate Environment: RBI'sstance oninterestrates affects auto loan affordability.

Stock Price Chart (1 Year)



DIFFERENT MODELS OF KIA CARS

MODEL NAME	MILEAGE		PRICE
	DIESEL MODEL	PETROL MODEL	
Kia Seltos:	17 to 20.7 kmpl	17 to 17.9 kmpl	₹11.19 - 20.56 Lakh
Kia Carens:	14.85 kmpl	15.58 kmpl to 18 kmpl	₹11.41 - 13.16 Lakh
Kia Sonet:	18.4 kmpl to 24.1 kmpl	18.4 kmpl	₹8 Lakh.
Kia Syros:	17.65 kmpl to 20.75 kmpl	17.68 kmpl to 18.2 kmpl	₹9.50 - 17.80 Lakh
Kia Carens Clavis:	15.95 kmpl to 16.66 kmpl	17.5 kmpl to 19.54 kmpl	₹11.50 - 21.50 Lakh
Kia Carnival:	15.34 kmpl to 19.54 kmpl	-	₹63.91 Lakh
EV MODEL NAME	**MILEAGE PER FULL CHARGE**		
Kia EV6:	663 km/charge		Rs 65.96 lakh
Kia EV9:	561 km/charge		₹1.30 Cr
Kia Carens Clavis EV:	404 km per full charge		₹17.99 - 24.49 Lakh

Key Insights

- SUVs (Sonet + Seltos) drive Kia's volume (Almost 65–70% of total sales).
- New launches (Syros, EV9, Clavis EV) show potential but need time to scale.
- EV6 has the strongest specs, but high price (₹65.96 lakh) limits mass adoption
- Kia is positioning itself from entry-level to premium EVs, covering a wide spectrum of Indian buyers.

Monthly Sales Growth

MODEL NAME	Dec 2024	Jan 2025	Feb 2025	Mar 2025	Apr 2025	May 2025
Sonet	3,337	7,194	7,598	7,705	8,068	8,054
Seltos	2,830	6,470	6,446	6,525	6,135	6,082
Carens	2,626	5,522	5,318	5,512	5,259	4,524
Syros	0	0	0	5,015	4,000	3,611
Carnival	103	293	239	230	161	44
EV6	61	0	0	520	0	0
EV9	0	0	0	18	0	0
Monthly Sales (Total)	8,957	19,479	19,601	25,525	23,623	22,315

- Total monthly sales rose from 8,957 in Dec 2024 → 25,525 in Mar 2025 (almost 3x growth).
- Post-March, sales slightly dipped: Apr (23,623) and May (22,315).
- Likely market saturation or seasonal slowdown.

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Background

Kia India, a subsidiary of South Korea's Kia Corporation the world's fifth-largest automaker and part of the Hyundai Motor Group entered the Indian market in 2017 and commenced production in 2019 with a $2 billion investment in a state-of-the-art manufacturing facility in Anantapur, Andhra Pradesh, capable of producing 300,000 units annually. Within just two years, Kia emerged as one of India's top five car manufacturers, driven by an aggressive product strategy featuring models like the Seltos, Sonet, Carens, and the EV6, all known for their stylish design, premium features, and competitive pricing. With around 95% localization in manufacturing, Kia has successfully blended global quality with affordability, earning multiple awards for design, safety, and customer satisfaction, and building a strong brand presence in the competitive Indian automotive market.

Growth Drivers

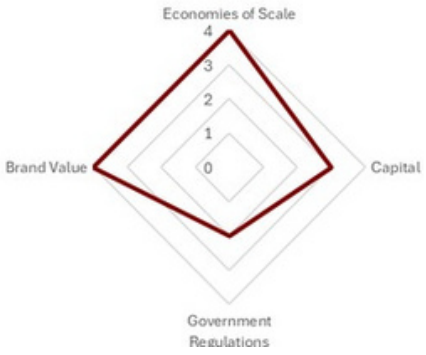
- Kia offered advanced features that appealed to Indian buyers such as Voice commands, Sunroof, Wireless charging, 360° camera, Premium sound systems
- Launched Seltos in 2019 targeting the booming SUV market in India.
- Despite premium features, Kia kept pricing competitive. Cars launched from ₹7–8 lakhs, making them accessible to mid-income buyers.
- Focused on building a widespread dealership and service presence. Over 200+ service/sales points within a short span to ensure easy after-sales support.

Business Models

Exceptional Design & Engineering Talent
Kia employs award-winning designers and engineers with global R&D centers in Korea, Europe, USA, and India, ensuring innovation in EV platforms, safety, and user-focused vehicle design.

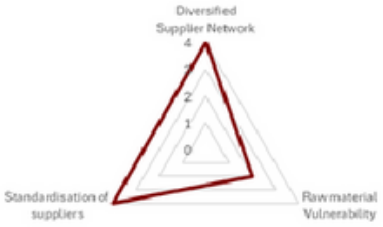
Advanced Manufacturing Infrastructure
Kia operates state-of-the-art factories worldwide, including its Anantapur plant in Andhra Pradesh, India (capacity: 300,000 units/year) producing Seltos, Sonet, Carens, and EV models with high automation and eco-friendly practices.

Innovative Digital & Mobility Initiatives
Kia Connect app for connected car features.
EV strategy with E-GMP platform and fast charging.
Advanced driver assistance (ADAS) and OTA updates.
Partnerships for autonomous driving and smart mobility solutions.



Threat of New Entrants

- High benefit of economies of scale due to Kia's large global production capacity (~3.5M units/year) and shared Hyundai Group manufacturing platforms.
- Capital-intensive industry — high R&D costs, EV battery development, and compliance investments deter new players.
- Government regulations on safety, emissions, and EV battery recycling create additional entry barriers.
- Strong brand recognition in global and Indian SUV segments provides a competitive moat.



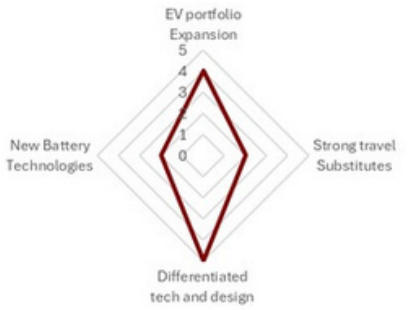
Bargaining Power of Suppliers

- Extensive, diversified supplier network across multiple geographies reduces overdependence on single markets.
- High supplier standardization with Hyundai Group ensures easy switching and economies in procurement.
- Raw material vulnerability — shortages in semiconductors, lithium, and rare earths due to geopoliticaltensionsand inflationary pressures.



Bargaining Power of Buyers

- Multiple alternatives in the same price bracket (Hyundai, Tata, Maruti, MG, Toyota, BYD) increase customer bargaining power.
- High price sensitivity in India's mass-market SUV and hatchback segment; buyers focus on mileage, maintenance, and resale value.
- Premium positioning in some models (e.g., EV6, Carnival, GT Line variants) helps reduce price sensitivity.
- After-sales service quality & warranty programs increase switching costs for existing customers.



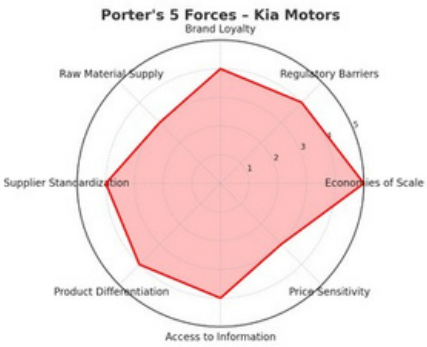
Threat of Substitutess

- EV portfolio expansion (EV6, EV9, upcoming India-focused EV SUV) turns potential threats into growth opportunities.
- Strong substitutes in India — public transport, ride-hailing, and two-wheelers, especially in Tier 2 & 3 cities.
- Differentiated design and tech features reduce risk in premium SUV/EUV segment.
- Battery technology breakthroughs by competitors could erode market share if Kia's adoption lags.



Industry Rivalry

- Highly competitive global and Indian markets with aggressive expansion from Toyota, VW, Stellantis, BYD, Tata, Hyundai, and MG.
- Price wars in India's SUV space may pressure margins.
- Design leadership, safety ratings, and feature-rich models have built strong urban brand loyalty.
- High product interdependence globally rivalry also fueled by tech race in EV space.



Environmental

Carbon-neutraltarget & ESG framework.

Kia has formalized an ESG management framework and set a long-term goal of achieving carbon neutrality by 2045; this is embedded into its 2023–24 sustainability reporting and strategy updates. ***Battery circularity & recycling pilots.*** Kia is actively building a circular value chain for EV batteries signing industry MOUs and running pilot projects to reuse/recycle cells and recover materials (aims to close the battery loop). Kia's public materials state recycling/recovery programs that can recover large shares of valuable materials. ***Scope & pace gap vs peers:*** While targets are in place, near-term absolute emissions reduction trajectories (Scope 1–3) and actionable intermediate targets for several regions are less aggressive than some leading OEM peers progress is steady but uneven across geographies. (See 2024 sustainability report for roadmap details.) ***Renewables & supply risk:*** Kia's global plants are implementing rooftop solar, energy-efficiency retrofits, and electrification of manufacturing processes; the company highlights plant-level GHG reductions and energy intensity improvements in its reports.Exposed to semiconductor, lithium and rare-earth supply risks; these are flagged as material risks given geopolitics and concentrated upstream suppliers.



Social

Local CSR scale in India planted saplings & farmer programs Local CSR scale in India planted saplings & farmer programs. Kia India's programs (Uphaar / DROP) report large plantation drives and community outreach — Kia India cites ~404,000 trees planted across states as part of its initiatives to support farmers/communities. ***Skills, education & road-safety initiatives***. Kia runs localized vocational programs, school/road safety campaigns, and partnerships with NGOs and institutes (IITs, local NGOs) for skills & engineering collaborations. ***Labour & human-rights monitoring-*** rollout ongoing. Kia has company-wide policies on human rights and supplier standards, but implementation consistency across multi-tiered suppliers (esp. in new EV battery and battery-recycling partners) is still being strengthened

Governance

Formalized ESG governance & policy book. Kia now publishes an ESG Policy Book and has set board-level oversight and a double materiality assessment that informs its targets. ***Disclosure granularity.*** Public disclosures are improving year-on-year, but investors seeking fully granular, region-level Scope 3 line items or supplier audit scores may find gaps (Kia is closing those gaps via phased reporting updates). ***Shareholder structure / strategic backing.*** Hyundai Motor Group is the largest shareholder (roughly ~34%), giving Kia scale benefits, shared platforms and stronger governance linkages

VALUE CHAIN

SUPPLIERS	MANUFACTURING	DISTRIBUTION

Supply Chain Disruptions & Import Dependence (Operational Risk)

Kia India imports a significant portion of components, including semiconductors, transmission systems, and specialized electronics, from global suppliers. Disruptions like the global chip shortage and Red Sea shipping crisis have led to production delays, extended waiting periods for popular models (e.g., Seltos, Carens), and increased logistics costs.

Regulatory & Policy Risks (Regulatory Risk)

Changes in Indian automotive policies especially in emissions standards (transition to BS6 Phase II), EV adoption mandates, and safety regulations can require expensive re-engineering. Fluctuating import duties on components, changes in GST rates for hybrid/EV segments, and state-level EV subsidies also pose compliance and cost risks. Delays or reversals in EV policy incentives can disrupt investment timelines

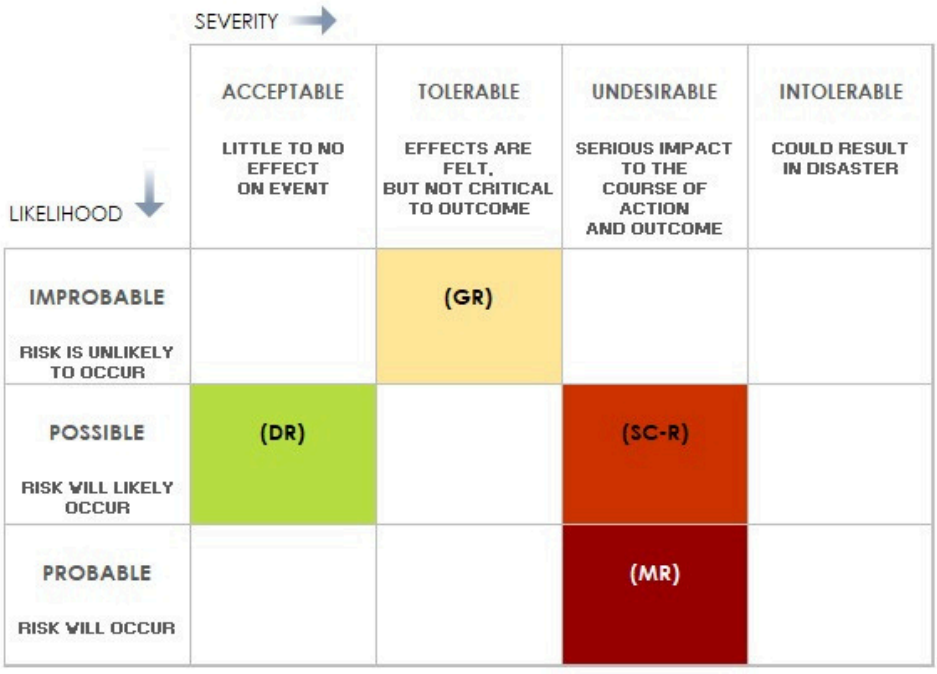
Market Risk & Competitive Intensity (Market Risk)

Indian passenger vehicle segment is highly competitive, with strong local and global players (Maruti Suzuki, Hyundai, Tata, MG). Consumer preferences are rapidly shifting toward SUVs, EVs, and connected tech features, increasing R&D and marketing costs.

Price sensitivity in mid-segment customers limits Kia's ability to pass on increased input costs. Volatility in rural demand (due to monsoons, fuel prices) can also impact sales.

Dealer Network & Service Quality Risk

Maintaining consistent customer experience across India's diverse regions is challenging. Weak dealer performance or service quality issues can hurt brand reputation and repeat sales.



Management Analysis

Management Overview

- Chairman: **Mr. Tae-Jin Park**
- Director & Group CFO: **Mr. Hardeep Singh Brar**
- Head of Marketing & PR: **Mr. Myung-sik Sohn**
- Chief Financial Officer: **Mr. Jong Seob Kim**
- Chief Manufacturing Officer : **Mr. Jong Seob Kim**

Board Composition: 50% of directors are independent, ensuring balanced governance. The board consists of 3 Non-Executive Directors and 2 Executive Directors, totaling 10 members.

Experience Diversity: 80% of the board has over 30 years of experience, ensuring expertise, while 20% bring newer perspectives.

Age Diversity: The majority (60%) are aged 56–70, with 20% each in the 36–55 and above 70 age groups, balancing seasoned leadership with generational diversity.

Governance



3-Statement Analysis

Period Ending:	2020A	2021A	2022A	2023A	2024A
Income Statement					
Revenue	**42.60**	**50.30**	**62.32**	**71.86**	**77.36**
Revenue Growth		*18.07%*	*23.90%*	*15.31%*	*7.66%*
Cost of Good Sold	**35.44**	**40.99**	**49.35**	**55.57**	**59.53**
COGS %Revenue	*83.19%*	*81.50%*	*79.18%*	*77.33%*	*76.95%*
Gross Profit	**7.16**	**9.31**	**12.98**	**16.29**	**17.84**
Gross Margins	*16.81%*	*18.50%*	*20.82%*	*22.67%*	*23.05%*
Operating Expenses	**5.67**	**5.66**	**7.77**	**7.94**	**8.71**
OpEx %	*13.32%*	*11.25%*	*12.47%*	*11.04%*	*11.26%*
R&D Expenses	**0.65**	**0.75**	**0.91**	**1.08**	**1.24**
R&D%Sales	*1.52%*	*1.50%*	*1.45%*	*1.51%*	*1.60%*
SG&A Expenses	**3.88**	**3.69**	**5.49**	**5.30**	**5.76**
SG&%Sales	*9.11%*	*7.34%*	*8.80%*	*7.38%*	*7.45%*
Net Income	**1.07**	**3.43**	**3.89**	**6.32**	**7.04**
Net Margins	*2.51%*	*6.81%*	*6.25%*	*8.79%*	*9.10%*
Depreciation and Amortization	**1.60**	**1.60**	**1.74**	**1.69**	**1.84**
D&A& Sales	*3.75%*	*3.18%*	*2.80%*	*2.36%*	*2.37%*
EBITDA	**3.09**	**5.25**	**6.95**	**10.05**	**10.96**
EBITDA Margins	*7.24%*	*10.43%*	*11.16%*	*13.99%*	*14.16%*

Revenue Growth Trends

Strong Early Growth: Revenue increased from ₹42.60B in 2020 to ₹77.36B in 2024.

Growth rates peaked in 2022 (23.90%), but slowed sharply in 2024 to 7.66%, suggesting market saturation or increased competition.

Implication: Kia may need to push new product launches, refresh existing line-ups, or expand into new segments

3-Statement Analysis

Period Ending:	2020A	2021A	2022A	2023A	2024A
Balance Sheet					
Cash and Short Term Investments	1068.1	1271.1	1404.9	1487.7	1588.4
Cash & Equivalents	731.6	830.4	831.9	1033.4	976.8
Short Term Investments	336.6	440.6	573.0	454.2	611.6
Receivables	283.4	287.4	363.4	178.2	492.6
Inventory	510.8	510.3	655.5	811.7	894.2
Other Current Assets	16.4	34.0	34.8	220.1	34.2
Total Assets	4355.3	4813.2	5307.2	5805.2	6678.4
Total Current Assets	**1878.7**	**2102.8**	**2458.6**	**2697.6**	**3009.4**
Property, Plant and Equipment	1121.8	1122.0	1107.6	1159.5	1316.1
Goodwill and Intangible Assets	192.0	203.9	209.2	238.3	294.8
Goodwill	2.7	2.7	2.7	2.7	2.7
Intangible Assets	189.2	201.2	206.6	235.7	292.0
Long Term Investments	762.6	866.5	876.5	1563.0	1269.6
Deferred Tax Assets	38.6	34.8	4.9	40.4	48.0
Other Long Term Assets	361.8	483.2	650.3	106.3	740.4
Total Non-Current Assets	**2476.6**	**2710.4**	**2848.6**	**3107.7**	**3669.0**
Accounts Payable	525.7	570.2	698.6	746.6	752.8
Notes Payable/Short Term Debt	382.8	321.6	250.9	83.7	82.2
Tax Payables	21.6	56.0	53.1	125.7	129.2
Deferred Revenue	609.5	659.4	53.7	57.7	0.0
Other Current Liabilities	-20.6	-54.7	770.8	834.9	978.2
Total Current Liabilities	**1519.1**	**1552.5**	**1827.2**	**1848.5**	**1942.3**
Total Non-Current Liabilities	684.1	747.0	647.3	604.4	715.5
Total Long Term Debt	368.1	370.7	306.8	213.5	176.8
Deferred Tax Liabilities Non-Currer	98.4	126.4	58.6	85.5	105.4
Deferred Revenue Non-Current	45.1	59.2	78.2	84.5	117.1
Capital Lease Obligations	18.8	19.6	19.6	23.6	26.1
Other Long Term Liabilities	153.9	171.1	184.0	197.4	290.2
Total Liabilities	**2203.1**	**2299.5**	**2474.5**	**2453.0**	**2658.0**

3-Statement Analysis

Period Ending:	2020A	2021A	2022A	2023A	2024A
Net Income/Starting Line	**$ 1,071.1**	**$ 3,427.4**	**$ 3,894.5**	**$ 6,320.0**	**$ 7,038.0**
Cash From Operating Activities	***$ 3,905.2***	***$ 5,299.0***	***$ 6,719.9***	***$ 8,133.5***	***$ 9,046.3***
Depreciation and Amortization	$ 1,598.1	$ 1,599.1	$ 1,744.3	$ 1,694.5	$ 1,835.5
Deferred Income Tax	-	-	-	-	-
Stock Based Compensation	-	-	-	-	-
Other Non-Cash Items	$ 2,530.4	$ 1,222.6	$ 2,677.6	$ 3,176.9	$ 3,259.2
Changes in Working Capital	**($ 1,294.4)**	**($ 950.2)**	**($ 1,596.4)**	**($ 3,057.9)**	**($ 3,086.3)**
Cash From Investing Activities	***($ 2,062.7)***	***($ 3,185.2)***	***($ 4,083.3)***	***($ 2,236.9)***	***($ 7,310.0)***
Investments in Property Plant and Equipment	($ 1,670.3)	($ 1,369.9)	($ 1,509.4)	($ 1,681.3)	($ 2,509.3)
Payments for Acquisitions	($ 560.7)	($ 744.1)	($ 1,079.2)	($ 989.4)	($ 1,084.4)
Purchases of Securities	($ 25.8)	($ 1,258.5)	($ 3,348.6)	($ 475.5)	($ 3,469.6)
Sales and Maturities of Investments	$ 151.2	$ 134.8	$ 1,812.5	$ 1,404.3	$ 567.4
Other Investing Activities	$ 42.8	$ 52.5	$ 41.3	($ 494.9)	($ 814.2)
Cash From Financing Activities	***$ 2,532.4***	***($ 1,166.8)***	***($ 2,487.2)***	***($ 4,029.4)***	***($ 2,570.4)***
Debt Repayment	$ 2,909.5	($ 803.9)	($ 1,498.0)	($ 2,703.7)	($ 664.2)
Common Stock Issued	-	-	-	-	-
Common Stock Repurchased	-	($ 27.4)	($ 79.5)	($ 360.0)	($ 360.0)
Dividends Paid	($ 332.0)	($ 288.7)	($ 866.0)	($ 1,010.3)	($ 1,579.9)
Other Financing Activities	($ 45.1)	($ 46.8)	($ 43.7)	$ 44.8	$ 33.7
Effect of Forex Changes on Cash	($ 132.7)	$ 41.6	($ 134.8)	$ 148.1	$ 267.7
Net Change in Cash	$ 4,242.2	$ 988.6	$ 14.6	$ 2,015.4	($ 566.3)
Cash at Beginning of Period	$ 3,073.5	$ 7,315.7	$ 8,304.3	$ 8,318.9	$ 10,334.3
Cash at End of Period	$ 7,315.7	$ 8,304.3	$ 8,318.9	$ 10,334.3	$ 9,767.9
Operating Cash Flow	$ 3,905.2	$ 5,299.0	$ 6,719.9	$ 8,133.5	$ 9,046.3
Capital Expenditure	($ 1,670.3)	($ 1,369.9)	($ 1,509.4)	($ 2,253.7)	($ 3,371.5)
Free Cash Flow	**$ 2,234.9**	**$ 3,929.1**	**$ 5,210.5**	**$ 5,879.8**	**$ 5,674.9**

Valuations & Projections

Period Ending:	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
# *Valuations*										
Revenue	**42.60**	**50.30**	**62.32**	**71.86**	**77.36**	**83.55**	**90.24**	**97.46**	**105.25**	**113.67**
Revenue Growth		*18.07%*	*23.90%*	*15.31%*	*7.66%*	*8%*	*8%*	*8%*	*8%*	*8%*
					Optimistic	*9%*	*9%*	*9%*	*9%*	*9%*
					Base	*8%*	*8%*	*8%*	*8%*	*8%*
					Conservative	*7%*	*7%*	*7%*	*7%*	*7%*
EBITDA	**3.09**	**5.25**	**6.95**	**10.05**	**10.96**					
EBITDA Margins	*7.24%*	*10.43%*	*11.16%*	*13.99%*	*14.16%*					
					Optimistic	*10%*	*10%*	*10%*	*10%*	*10%*
					Base	*8%*	*8%*	*8%*	*8%*	*8%*
					Conservative	*7%*	*7%*	*7%*	*7%*	*7%*
Cost of Good Sold	**35.44**	**40.99**	**49.35**	**55.57**	**59.53**	**64.29**	**69.43**	**74.99**	**80.99**	**87.47**
COGS %Revenue	*83.19%*	*81.50%*	*79.18%*	*77.33%*	*76.95%*	*76.95%*	*76.95%*	*76.95%*	*76.95%*	*76.95%*
Gross Profit	**7.16**	**9.31**	**12.98**	**16.29**	**17.84**	**19.26**	**20.80**	**22.47**	**24.26**	**26.21**
Gross Margins	*16.81%*	*18.50%*	*20.82%*	*22.67%*	*23.05%*	*23.05%*	*23.05%*	*23.05%*	*23.05%*	*23.05%*
Operating Expenses	**5.67**	**5.66**	**7.77**	**7.94**	**8.71**	**9.41**	**10.17**	**10.98**	**11.86**	**12.81**
OpEx %	*13.32%*	*11.25%*	*12.47%*	*11.04%*	*11.26%*	*11.26%*	*11.26%*	*11.26%*	*11.26%*	*11.26%*
SG&A Expenses	**3.88**	**3.69**	**5.49**	**5.30**	**5.76**	**6.23**	**6.72**	**7.26**	**7.84**	**8.47**
SG&%Sales	*9.11%*	*7.34%*	*8.80%*	*7.38%*	*7.45%*	*7.45%*	*7.45%*	*7.45%*	*7.45%*	*7.45%*
Net Income	**1.07**	**3.43**	**3.89**	**6.32**	**7.04**	**7.60**	**8.21**	**8.86**	**9.57**	**10.34**
Net Margins	*2.51%*	*6.81%*	*6.25%*	*8.79%*	*9.10%*	*9.10%*	*9.10%*	*9.10%*	*9.10%*	*9.10%*
Depreciation and Amortization	**1.60**	**1.60**	**1.74**	**1.69**	**1.84**	**1.98**	**2.14**	**2.31**	**2.50**	**2.70**
D&A& Sales	*3.75%*	*3.18%*	*2.80%*	*2.36%*	*2.37%*	*2.37%*	*2.37%*	*2.37%*	*2.37%*	*2.37%*

Valuation

Weighted Average Cost of Capital

All figures are in INR unless stated otherwise.

Peer Comps

Name	Country	Total Debt	Total Equity	Tax Rate [1]	Debt/ Equity	Debt/ Capital	Levered Beta [2]	Unlevered Beta [3]
Kia		2578	3.0843E+11	27.50%	0.84%	0.83%	1	0.99
Toyota		260652	2.5426E+11	27.50%	102.51%	50.62%	1	0.57
Tesla		13223	1.0193E+12	27.50%	1.30%	1.28%	1	0.99
BYD		5709	2.3751E+11	27.50%	2.40%	2.35%	1	0.98
Hyundai		108287	3.3248E+10	27.50%	325.70%	76.51%	1	0.30
Average				27.50%	107.98%	32.69%	1.00	0.71
Median				27.50%	52.46%	26.48%	1.00	0.78

WACC

Cost of Debt

Pre-tax Cost of Debt	4.13%
Tax Rate	27.50%
After Tax Cost of Debt	2.99%

Cost of Equity

Risk Free Rate	2.50%
Equity Risk Premium	4.99%
Levered Beta [4]	0.83
Cost of Equity	6.63%

Capital Structure

		Current	Target
Total Debt	2,578M	0.83%	7.90%
Market Capitalization	3,08,429M	99.17%	92.10%
Total Capitalization	3,11,008M	100.00%	100.00%
Debt / Equity		0.84%	8.58%

Levered Beta

Comps Median Unlevered Beta	0.78
Target Debt/ Equity	8.58%
Tax Rate	27.50%
Levered Beta	0.83

Weighted Average Cost of Capital

	Total Cost	Total Weight
Debt Capital	2.99%	7.90%
Equity Capital	6.63%	92.10%
Weighted Average Cost of Capital		6.34%

1. Tax Rate considered as Marginal Tax Rate for the country
2. Levered Beta is based on 5 year monthly data
3. Unlevered Beta = Levered Beta/(1+(1-Tax Rate) x Debt/Equity)
4. Levered Beta = Unlevered Beta(1+(1-Tax Rate) x Debt/Equity)*

Sensitivity Analysis

TGR \ WACC	1,25,991.66	4.5%	5.0%	5.5%	6.0%	6.5%	7.0%	7.5%	8.0%	8.5%
0.10%	1,42,532.30	1,27,988.19	1,16,137.43	1,06,295.27	97,990.95	90,890.16	84,748.93	79,385.08	74,659.77	
0.15%	1,51,552.92	1,35,928.91	1,23,225.27	1,12,693.20	1,03,819.72	96,241.64	89,694.59	83,981.56	78,952.72	
0.20%	1,61,161.73	1,44,374.05	1,30,753.85	1,19,481.97	1,09,999.27	1,01,911.09	94,930.88	88,845.57	83,493.42	
0.25%	1,71,398.66	1,53,356.69	1,38,751.29	1,26,685.96	1,16,551.09	1,07,917.67	1,00,475.07	93,992.81	88,296.28	
0.30%	1,82,306.53	1,62,912.22	1,47,247.58	1,34,331.13	1,23,497.97	1,14,281.71	1,06,345.48	99,439.93	93,376.52	
0.35%	1,93,931.25	1,73,078.43	1,56,274.70	1,42,445.08	1,30,864.18	1,21,024.77	1,12,561.50	1,05,204.53	98,750.27	
0.40%	2,06,322.05	1,83,895.74	1,65,866.74	1,51,057.21	1,38,675.47	1,28,169.76	1,19,143.72	1,11,305.31	1,04,434.62	
0.45%	2,19,531.73	1,95,407.36	1,76,060.10	1,60,198.83	1,46,959.26	1,35,740.99	1,26,113.97	1,17,762.05	1,10,447.64	

Terminal Value

Terminal Value	₹ 36,866
PV of TV	₹ 21,982
Enteprise Value	₹ 29,742
(-) Debt	801.87
Equity Value	₹ 28,940

Implied Share Price

Shares Outstanding (in Cr.)	**26.8507382**
Stock Price (As of Dec 2024)	**₹ 1,096.55**
Implied Share Price	**₹ 1,077.82**
Implied Upside	**-1.71%**

Comparable Company Analysis

S.No.	Name	CMP($)	MARKET DATA: No. Eq. Shares	MARKET DATA: Debt($)	MARKET DATA: Enterprise Value($)	FINANCIALS: Sales($)	FINANCIALS: EBITDA($)	FINANCIALS: EPS($)	VALUATION: EV/Revenue	VALUATION: EV/EBITDA	VALUATION: P/E
1	Kia	79.13	3898	2578	311008	819375	111150	17.88	0.38x	2.80x	4.42x
2	Toyota	19.51	13033	260652	514912	336280	49350	2.52	1.53x	10.43x	7.75x
3	Tesla	316.06	3225	13223	1032517	92720	11346	1.83	11.14x	91.00x	172.71x
4	BYD	43.26	5491	5709	243222	105280	14912	0.66	2.31x	16.31x	65.87x
5	Hyundai	162.38	205	108287	141535	134235	13103	35.50	1.05x	10.80x	4.57x
High									11.14x	91.00x	172.71x
75th %ile									2.31x	16.31x	65.87x
Average									3.28x	26.27x	51.07x
Median									1.53x	10.80x	7.75x
25th %ile									0.38x	2.80x	4.42x
Low									0.38x	2.80x	4.42x

	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	1254628	1200656	542872
Net Debt	2578	2578	2578
Implied Market Value	1252050	1198077	540293
Shares Outstanding	3898	3898	3898
Implied Value Per Share	321.20	307.36	138.61

Competitor Analysis

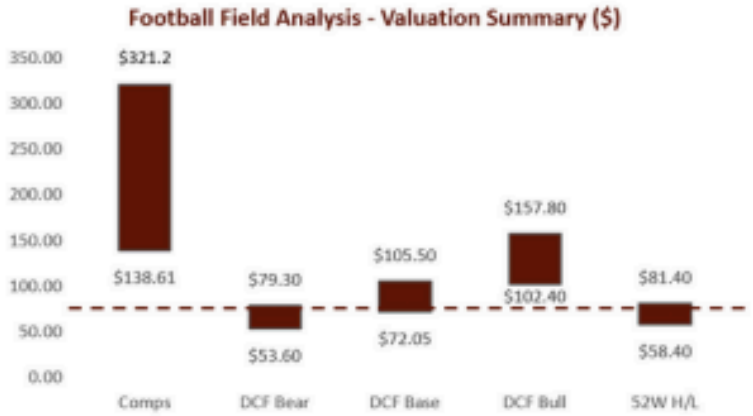
Competitors Overview Toyota - A global manufacturing leader known for reliable hybrids and massive production scale.
Tesla - An EV and clean-energy innovator that pairs software-first features with strong brand appeal.
BYD - A vertically integrated EV and battery maker with cost advantages that enable rapid scaling.
Hyundai - A major automaker investing heavily in electric and hydrogen technologies for future mobility.

Valuation Based on CCA

Market Value: Tesla holds the highest enterprise value and share-price premium in the peer group, reflecting strong growth expectations in EVs and related technologies. Kia and Hyundai trade at considerably lower multiples, suggesting relative value potential compared to high-growth peers. **Financials:** Toyota and Hyundai carry the largest debt loads, indicating higher leverage, while Kia maintains a lighter balance sheet and stronger liquidity. Toyota and Hyundai benefit from scale in revenue and EBITDA, whereas Tesla and BYD show faster growth momentum. **Operational efficiency:** Toyota, BYD, and Kia deliver strong revenue-to-EBITDA conversion, highlighting cost efficiency and healthy margins. Hyundai's margins trail slightly, while Tesla's valuation leans more on anticipated profitability than current margins. **Opportunity:** Kia stands out as the most attractive value play, trading at the lowest EV/Revenue, EV/EBITDA, and P/E ratios. Tesla commands a significant growth premium, while Toyota, Hyundai, and BYD fall in between, balancing scale, stability, and EV transition exposure.

Football Field Analysis

Football Field Analysis					
		OpenLow	Low	OpenHigh	High
Comps		138.61	138.61	321.2	321.2
DCF Bear		53.6	53.6	79.3	79.3
DCF Base		72.05	72.05	105.5	105.5
DCF Bull		102.4	102.4	157.8	157.8
52W H/L		58.4	58.4	81.4	81.4



Key Takeaways The DCF Bull Case range ($102.4–$157.8) sits well above the market's 52-week high ($81.4), meaning that view rests on optimistic growth or multiple expansion that the market hasn't priced in. The Comps high ($321.2) is an extreme outlier and would require a very large rerating to be believable.

Better Scenario The DCF Base Case ($72.05–$105.50) is the most realistic takeaway, it balances achievable growth with limited downside and offers sensible upside from current levels. The DCF Bear ($53.6) tracks recent lows (≈$58.4), so it suggests downside is contained rather than catastrophic.

Worst Scenario

The DCF Bear Case ($53.6), reflecting minimal growth and elevated downside risk that would push valuation toward recent troughs.

Relative Analysis

DCF Base Case ($72.05–$105.50): The most balanced valuation: assumes steady, achievable revenue growth and modest margin improvement. It sits near current market levels and offers sensible upside without relying on exceptional execution.

DCF Bull Case ($102.4–$157.8): An optimistic outcome driven by strong top-line growth, margin expansion or a multiple rerating. This range sits well above the 52-week high and therefore requires sustained outperformance or a shift in market sentiment.

DCF Bear Case ($53.6-$79.3): A conservative downside view reflecting weak growth and margin pressure. Close to the recent trough, it serves as a practical stress-test for downside risk.

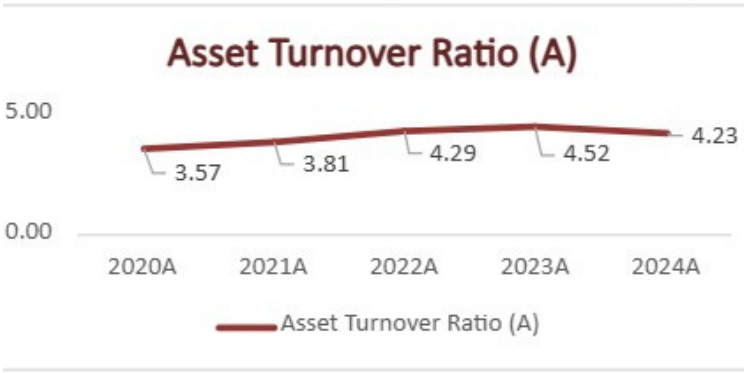
Comps Range ($138.61–$321.20): Peer anchors span a wide band: the lower comps (~$138.6) is plausible under bullish comparables, while $321.2 is an outlier that would need a dramatic rerating.

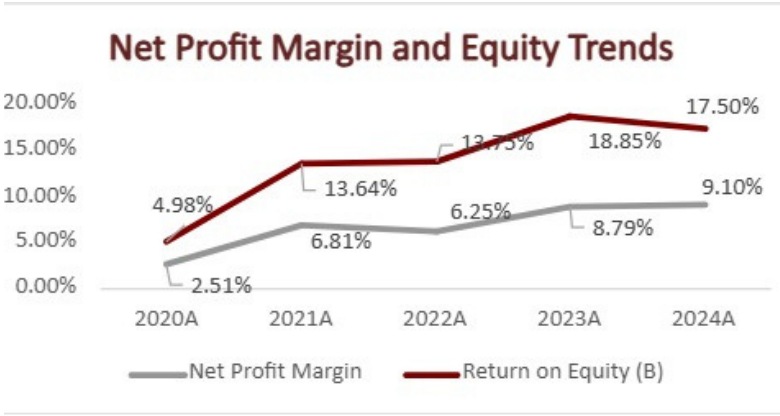
52-Week High / Low ($81.4 / $58.4): Provides market context: Base straddles this band (practical upside), Bear aligns with the low (contained downside), and Bull demands materially higher market expectations.

DuPont Analysis

Period Ending:	2020A	2021A	2022A	2023A	2024A
Revenue	42.60	50.30	62.32	71.86	77.36
Net Income	1.07	3.43	3.89	6.32	7.04
Average Total Assets	11.9	13.2	14.5	15.9	18.3
Total Stockholders' Equity	22	25	28	34	40

Period Ending:	2020A	2021A	2022A	2023A	2024A
Net Profit Margin	2.51%	6.81%	6.25%	8.79%	9.10%
Asset Turnover Ratio (A)	3.57	3.81	4.29	4.52	4.23
Return on Equity (B)	4.98%	13.64%	13.75%	18.85%	17.50%
ROA (A x B)	17.77%	52.01%	58.94%	85.19%	74.01%





Sharpe Ratio & Jensen's Alpha

Variable	KOSPI (Market)	Kia Motors
Risk Free Rate	2.86%	2.86%
Annual Return	33.58%	13.31%
Annual St. Dev.	0.187	0.42
Sharpe Ratio	1.64	0.25

Variable	KOSPI (Market)	Kia Motors
Risk Free Rate	2.86%	2.86%
Annual Return	33.58%	13.31%
Return on Market	33.58%	33.58%
Beta	1	0.76
Jensen's Alpha	0.00%	-12.90%

DuPont Summary

- Net Profit Margin has seen a drastic increase from 2020 to 2021, post-pandemic recovery. Ever since, it has seen a gradual increase, going from 6.81% to 9.1%, hinting at the faster rate of increase of the net income as compared to the revenue. This is likely due to the effective partnership with Hyundai Motors for shared supplier procurement.
- Asset Turnover Ratio has been consistent over the period, signifying that there has been a good utilisation of assets in generating revenue.
- The rising margins are the main driver - Kia is earning more per unit sold due to SUVs and Sonet models (Premium Positioning being responsible for this). Also, operational efficiency is strong as indicated by a consistent Asset Turnover ratio. This contributes to an increase in the ROE.

Remarks

Margin Expansion as Primary Driver: Kia's improved Net Profit Margin (6.8%→ 9.1%) is the key factor behind ROE growth. This indicates stronger pricing power from SUVs and premium positioning, coupled with cost-sharing synergies with Hyundai. Sustaining this margin trajectory is crucial for long-term ROE stability.

Asset Turnover Stability: Consistent Asset Turnover suggests efficient utilization of production and distribution networks. However, compared to pre-2016 highs, there is still scope to push utilization rates higher. Enhancing supply chain efficiency and optimizing inventory could unlock additional gains.

Leverage Moderation Supports Resilience: The decline in Equity Multiplier (from ~3.95x to ~2.96x) highlights reduced dependence on debt. While this lowers financial risk, it also means future ROE gains must come predominantly from margin and turnover improvements rather than leverage.

Balanced Growth Outlook: The DuPont drivers together point to a healthier and more sustainable ROE. Kia is strategically positioned — margins are rising, asset use is stable, and leverage is prudent. Focus should be on driving volume growth (to lift turnover) while defending margins in the face of global trade and cost pressures.

Future Expected Performance

Electric Vehicles (EVs): Core Growth Focus

EVLaunches & Expansion:

- Rollout of the Kia EV9 and EV5 in India by 2025, alongside localized EV6 assembly to improve affordability. Investment in a dedicated
- EV assembly line at Anantapur plant.

Charging Network Partnerships:

Collaborations with charging infra players to establish 1,000+ fast-charging points across key cities by FY26. ***Battery Innovation:***

- Exploration of LFP battery adoption for cost efficiency; plans to localize battery packs through partnerships.

SUV & ICE Portfolio Leadership

NewLaunch Pipeline:

- Facelifted Seltos, Sonet, and updated Carnival in 2025 to maintain leadership in premium SUV and MPV segments.

CNG & Flex-Fuel Options:

- Dual-fuel strategy to tap into cost-conscious segments and meet green mobility targets.

Premiumization Strategy:

- More ADAS Level 2 features and connected tech integration across all models.

Capital investments

₹2,000+ Crore Capex FY25–26:

- Scaling EV production, localization of key components, and setting up R&D for advanced battery tech. Expansion of Anantapur plant
- capacity to over 4 lakh units annually.

Export Growth

Global Market Penetration:

- Target to export India-made Seltos, Sonet, and EV models to 90+ countries, expanding footprint in LATAM, Africa, and ASEAN.

Right-Hand-Drive Hub:

- Positioning India as a global hub for RHD vehicles for Kia's international portfolio.

Innovation

R&D Focus:

- Strengthening R&D center in Hyderabad to work on connected car platforms, AI-driven diagnostics, and over-the-air (OTA) update systems.

Sustainable Operations

- 100% renewable energy usage target for Anantapur facility by 2030.

Partnerships & Strategy

Strategic Subsidiaries & Partnerships

- EV Supply Chain:
  - Collaboration with battery cell manufacturers for local sourcing.

Mobility Solutions:

- Partnerships with ride-hailing and shared mobility operators for EV fleet deployment in metros.

Investment Thesis

- Kia Motors India has rapidly emerged as one of the fastest-growing automakers in the Indian market since its entry in 2019, leveraging strong product positioning, advanced design, and competitive pricing.
  With market share stabilizing around 7–8%, robust demand for models like Seltos, Sonet, and Carens, and increasing exports, Kia is well-positioned to sustain its growth trajectory in India's expanding passenger vehicle (PV) segment.

- Global Positioning & Diversification: Beyond India, Kia has strong footprints in the US, Europe, and Latin America, reducing dependence on a single geography. The upcoming EV9 and localized EV models position Kia well to capture the global EV transition, especially with favorable trade pacts and new manufacturing bases (e.g., Brazil plant expansion).

- Profitability & ROE Upside: DuPont analysis indicates margin expansion as the key ROE driver, supported by premium product positioning (SUVs, MPVs). Leverage is well-managed, reducing financial risk while leaving upside to further ROE gains via better asset turnover and operational efficiency.

- Sustainability & Policy Tailwinds: Government incentives such as India's FAME-II and PLI, combined with global carbon neutrality goals, provide long-term structural support for Kia's EV strategy. Commitment to greener technologies enhances Kia's ESG profile, a growing determinant in institutional investor allocations.

- Risks & Challenges: Key risks include exposure to commodity inflation, potential trade/tariff disruptions (e.g., US tariffs on Korean OEMs), and cyclical downturns in auto demand. However, Kia's diversified presence, prudent cost controls, and premium positioning help cushion these risks.

- Valuation & Recommendation: Trading at attractive valuation multiples relative to peers, with stable dividend payouts, Kia offers a balance of growth and income. Given India's projected 8–10% PV CAGR and Kia's premium positioning, the company has significant headroom for revenue expansion and margin improvement. Near-term volatility from tariffs or input cost fluctuations should be viewed as accumulation opportunities for long-term investors.